

		Counsel for USIC states his office sent City’s counsel an email setting forth grounds for demurrer on 4/8/26. (Schmitthenner Decl., ¶ 3, Ex. 1.) City’s counsel then sent an email response the same day. (Schmitthenner Decl., ¶ 3, Ex. 1.) Near the end of her email, counsel for City states, “The timeliness of this ‘meet and confer’ is questionable – isn’t your response already due? You had previously informed me that you were going to file a demurrer and provided an estimated time. Was this a good faith meet and confer?” This does not satisfy the meet and confer requirement. The Court ORDERS the parties to meaningfully meet and confer in person, by telephone, or by video conference (email/letter is insufficient) concerning the issues raised in the demurrer. USIC is to file and serve a declaration no later than nine (9) court days before the hearing date describing the parties’ meet and confer efforts, and specifying what issues have been resolved, or remain for the Court to resolve. If no declaration is timely filed, the Court will construe this to mean that the issues have been resolved and will take the demurrer off-calendar.
13.	CABRERA VS. VOLKSWAGEN A.G. 2026-01541961	1. DEMURRER TO COMPLAINT Defendants’ demurrer to the seventh and eighth causes of action is SUSTAINED with 20 days leave to amend. The demurrer to the remaining causes of action is OVERRULED. Defendants demur to the fifth through ninth causes of action of the complaint. Plaintiff has not filed an opposition. <u>Fifth and Sixth Causes of Action - Violations of Business and Professions Code §§ 17200 and 17500</u> The fifth and sixth causes of action for violations of Business and Professions Code §§ 17200 and 17500 are alleged against all defendants. Defendants argue these causes of action fail because the complaint does not state facts sufficient to state a cause of action and because Plaintiff has an adequate remedy at law. <u>Sufficient Facts to State a Cause of Action</u> The complaint generally alleges Defendants engaged in unlawful business practices by placing a defective vehicle into the stream of commerce without warning the general public or remedying the defects and made statements that were untrue or misleading regarding this vehicle model’s safety, reliability, and functionality through advertising, marketing, and other publications. Although Plaintiff pleads general allegations in support of these causes of action, the complaint provides Defendants “the necessary information to permit [them] to gather and preserve the relevant

materials and begin to conduct discovery and prepare a defense.” (*Pointe San Diego Residential Community, L.P. v. Procopio, Cory, Hargreaves & Savitch, LLP* (2011) 195 Cal.App.4th 265, 278.)

Adequate Remedy at Law

Sections 17200 and 17500 are “subject to fundamental equitable principles, including inadequacy of the legal remedy.” (*Prudential Home Mortg. Co. v. Superior Court* (1998) 66 Cal.App.4th 1236, 1249.) On this basis, these claims must be dismissed because Plaintiff has adequate remedies at law since Plaintiff has alleged Song Beverly Act violations. Defendants have not cited any California state court cases to support their conclusion. Instead, Defendants rely exclusively on unreported federal court cases. The court declines to follow them.

Therefore, the demurrer to the fifth and sixth causes of action is overruled.

Seventh Cause of Action – Negligent Misrepresentation

The seventh cause of action for negligent misrepresentation is alleged against all defendants. Defendants argue the claim is barred by the economic loss rule and is not plead with the requisite specificity.

Economic Loss Rule

Defendants argue the economic loss rule bars this claim because Plaintiff does not allege any personal injuries or other damages besides economic losses.

As explained in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1: “The rule itself is deceptively easy to state: In general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.” (*Id.* at 20; citation omitted.) “But the economic loss rule does not act as an absolute bar to tort recovery in every case in which the parties have a contractual relationship.” (*Id.* at 23.) “Courts generally permit tort suits if the defendant allegedly violated a duty rooted in tort principles that is independent of the parties’ contractual rights and obligations and exposed the plaintiff to a risk of harm beyond the parties’ reasonable contemplation when they entered into the contract.” (*Id.*)

Here, the complaint alleges such an independent tort duty, i.e. “a statutory duty under the Vehicle Code not to make false or misleading statements to Plaintiff.” (Complaint, ¶ 103.)

Specificity

To state a cause of action for negligent misrepresentation, a plaintiff must plead: “(1) a representation as to a material fact, (2) representation is untrue, (3) regardless of the actual belief, the defendant made the representation without a reasonable ground for believing it true, (4) intent to induce reliance, (5) justifiable reliance by plaintiff who does not know the representation is false, and (6) damage.” (*Masters v. San Bernardino Cnty. Emps. Ret. Ass’n* (1995) 32 Cal.App.4th 30, 40 n.6.) Where fraud is alleged against a corporate defendant, the plaintiff must also plead “the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (*Cansino v. Bank of Am.* (2014) 224 Cal. App.4th 1462, 1469)

“In California, fraud must be pled specifically; general and conclusory allegations do not suffice . . . This particularity requirement necessitates pleading *facts* which show how, when, where, to whom, and by what means the representations were tendered.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645 [emphasis in original].) In the case of a corporate defendant, “the plaintiff must allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (*Ibid.*)

Here, Plaintiff has failed to plead negligent misrepresentation with the requisite specificity. The complaint alleges “Defendants made the following misrepresentations to Plaintiff: (1) misrepresenting the condition of the VEHICLE; (2) misrepresenting an intent to thoroughly inspect and go through the VEHICLE prior to Plaintiff taking delivery; (3) misrepresenting the prices and need for additional service contracts and accessories; (4) misrepresenting the safety of the VEHICLE; (5) providing false assurances about the safety and reliability of the VEHICLE; (6) taking advantage of Plaintiff to lease and/or sell a VEHICLE that was in need of repairs only to charge them for repairs that should have made prior to lease and/or sale; (7) making false promises about the merchantability and existence of an implied warranty of merchantability [sic] (8) establishing policies and procedures that take advantage consumers; (9) having no policies and procedures in place to confirm that any VEHICLE being offered for lease and/or sale does in fact adhere with the standards of the vehicle industry; (10) directing Plaintiff to sign false, and misleading documents; and (11) intentionally leasing and/or selling VEHICLE that had known damages, defects, and concealing those facts from Plaintiff.” (Complaint, ¶ 99.)

The complaint fails to plead with particularity which defendant made the misrepresentation, the identity of the person(s) who made the allegedly fraudulent representations on behalf of that defendant, their authority of the person(s) to speak, and when each

representation was made. Plaintiff also does not allege facts to show that any defendant made a misrepresentation without a reasonable ground for believing it was true.

Therefore, the demurrer to this cause of action is sustained with leave to amend.

Eighth Cause of Action – Fraudulent Concealment

The eighth cause of action is alleged against Volkswagen AG and VWGoA who argue the claim is not plead with the requisite specificity. Defendants are correct.

In fraudulent inducement cases based on exclusive knowledge, the complaint must specifically plead “(1) the content of the omitted facts, (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission. ‘[M]ere conclusory allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[] . . . are insufficient for the foregoing purposes.’” (*Rattagan, supra*, 17 Cal.5th at p. 43, quoting *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 347.)

Here, complaint does not plead the specific facts Defendants failed to disclose; the specific facts establishing Defendants knew of those facts at the time Plaintiff acquired the subject vehicle; what advertisements, brochures, or other materials where Defendants could have disclosed the omitted facts that Plaintiff reviewed and relied upon in purchasing the subject vehicle; how long before purchasing the vehicle he viewed them; whether those materials, if any, were prepared by VWAG and VWGoA or someone else (such as a dealership); specific facts establishing Defendants intended to defraud Plaintiff by either making affirmative statements or failing to disclose material facts; and the person(s) who made the false representations or otherwise engaged in the fraudulent conduct.

Therefore, the demurrer to this cause of action is sustained with leave to amend.

Ninth Cause of Action - Negligent Repair

The ninth cause of action for negligent repair is alleged against Defendants Volkswagen of Garden Grove and Norm Reeves Volkswagen Superstore. Defendants argue this claim is barred by the economic loss rule and fails to allege any facts to support a negligence claim.

Economic Loss

As mentioned above, the economic loss rule does not bar tort claims “if the defendant allegedly violated a duty rooted in tort principles that is independent of the parties’ contractual rights and obligations and exposed the plaintiff to a risk of harm beyond the parties’ reasonable contemplation when they entered into the contract.” (Rattagan, *supra*, 17 Cal.5th at p. 23.)

As with the negligent misrepresentation claim, the negligent repair claim alleges such an independent tort duty, i.e. “a duty to Plaintiff to use ordinary care and skill in the repair, storage, preparation, and replacement of components in the VEHICLE, in accordance with the manufacturer and industry standards and procedures.” (Complaint, ¶ 102.)

Sufficient Facts to Constitute a Cause of Action

The elements of negligence are: (1) defendant’s legal duty to conform to a standard of conduct to protect the plaintiff; (2) defendant failed to meet this standard of conduct; (3) causation; (4) damages. (*Ladd v. County of San Mateo* (1996) 12 Cal.4th 913, 917; see also *Bockrath v. Aldrich Chemical Co., Inc.* (1999) 21 Cal.4th 71, 80 [causation may be alleged generally].)

While Plaintiff’s allegations are somewhat sparse, they sufficiently allege each element. (Complaint, ¶¶ 120 [duty created by delivery of vehicle for repairs, and to perform repairs “in accordance with the manufacturer and industry standards and procedures”]; ¶¶ 26-29, 121-122 [breach by failing “to properly diagnose the issues affecting the VEHICLE” and “us[ing] subpar and or non-OEM remanufactured components during the repair” with knowledge that “these components and or parts were not of the same quality as the original components and or parts”]; ¶¶ 123-124 [proximately caused damages].)

Therefore, the demurrer to this cause of action is overruled.

2. MOTION TO QUASH SERVICE OF SUMMONS

The Motion to Quash Service of Summons and Complaint by Defendant Volkswagen AG is GRANTED.

Defendant Volkswagen AG specially appears and moves under Code Civil Procedure section 418.10 for an order quashing service of summons and dismissing he claims against it for lack of personal jurisdiction.

Section 418.10, subdivision (a) provides that a defendant may serve and file a notice of motion “[t]o quash service of summons on the ground of lack of jurisdiction of the court over him or her.” Once a

defendant files a motion to quash challenging jurisdiction under section 418.10, plaintiff has the burden of proof of demonstrating that sufficient minimum contacts exist between defendant and the forum state to justify imposition of personal jurisdiction. (*Mihlon v. Superior Court* (1985) 169 Cal.App.3d 703, 710.) Plaintiff must do so by a preponderance of the evidence. (*Ziller Electronics Lab GmbH v. Superior Court* (1988) 206 Cal.App.3d 1222, 1232.) Moreover, plaintiff must do so by competent evidence; unverified pleadings are insufficient (*Mihlon v. Superior Court, supra* at 710), as are hearsay declarations (*Floveyor Int'l, Ltd. v. Superior Court* (1997) 59 Cal.App.4th 789, 796).

California has the broadest kind of “long arm” statute, allowing CA courts to “exercise jurisdiction on any basis not inconsistent with the Constitution of this state or of the United States.” (Code Civ. Proc., § 410.10.) Due process allows a state court to exercise personal jurisdiction over a nonresident defendant who has “minimum contacts” with the forum state: a relationship between the nonresident and the forum state which is such that the exercise of jurisdiction does not offend “traditional notions of fair play and substantial justice.” (*International Shoe Co. v. Washington* (1945) 326 U.S. 310, 316.)

Such personal jurisdiction may be general or specific. General jurisdiction arises when a defendant maintains "continuous and systematic" contacts with the forum state even when the cause of action has no relation to those contacts. (*Helicopteros Nacionales de Colombia, S.A. v. Hall* (1984) 466 U.S. 408, 414.) In contrast, even where general jurisdiction does not exist, a nonresident defendant may still be subject to specific jurisdiction if the controversy is related to or arises out of defendant’s contacts with the forum state. (*Id.*) There is a 3-part test to determine whether specific jurisdiction exists: (1) “defendant has purposefully availed himself or herself of forum benefits;” (2) “the controversy is related to or 'arises out of' a defendant's contacts with the forum;” and (3) “[o]nce it has been decided that a defendant purposefully established minimum contacts within the forum State, these contacts may be considered in light of other factors to determine whether the assertion of personal jurisdiction would comport with 'fair play and substantial justice.'” (*Vons Companies, Inc. v. Seabest Foods, Inc.* (1996) 14 Cal.4th 434, 446-448; internal citations omitted.)

Plaintiff concedes that general jurisdiction does not apply since the opposition is silent on this point. Instead, Plaintiff argues specific jurisdiction exists under a steam-of-commerce theory.

Plaintiff has not provided sufficient evidence to establish specific jurisdiction.

Purposeful Availment and Relatedness

“Purposeful availment exists whenever the defendant purposefully and voluntarily directs its activities toward the forum state in an effort to obtain a benefit from that state.” (*Snowney v. Harrah’s Entertainment, Inc.* (2002) 35 Cal.4th 1054, 1067.) Whether the controversy “is related to or arises out of defendants’ contacts with California” is satisfied if there is a substantial nexus or connection between the defendants’ forum activities and the plaintiff’s claim.” (*Id.* at 1068.)

Regarding the stream of commerce theory: “When a corporation ‘purposefully avails itself of the privilege of conducting activities within the forum State,’ [citation], it has clear notice that it is subject to suit there, and can act to alleviate the risk of burdensome litigation by procuring insurance, passing the expected costs on to customers, or, if the risks are too great, severing its connection with the State. Hence, if the sale of a product of a manufacturer or distributor such as Audi or Volkswagen is not simply an isolated occurrence, but arises from the efforts of the manufacturer or distributor to serve directly or indirectly, the market for its product in other States, it is not unreasonable to subject it to suit in one of those States if its allegedly defective merchandise has there been the source of injury to its owner or to others. The forum State does not exceed its powers under the Due Process Clause if it asserts personal jurisdiction over a corporation that delivers its products into the *stream of commerce* with the expectation that they will be purchased by consumers in the forum State.” (*World-Wide Volkswagen Corp. v. Woodson* (1980) 444 U.S. 286, 297-298; see also *L.W. v. Audi AG* (2025) 108 Cal.App.5th 95, 108–109 [explaining the stream-of-commerce theory].)

“‘[M]ere foreseeability that a product may enter a foreign state is insufficient to establish minimum contacts with a forum state. An inquiry into a foreign defendant’s purposeful availment of the forum state’s benefits must find more than merely entering a product into the stream of commerce with knowledge the product might enter the forum state.’” (*L.W., supra*, 108 Cal.App.5th at p. 112, quoting *Bombardier Recreational Products, Inc. v. Dow Chemical Canada ULC* (2013) 216 Cal.App.4th 591, 602; see also *J. McIntyre Machinery, Ltd. v. Nicastro* (2011) 564 U.S. 873, 886 [“the stream-of-commerce metaphor cannot supersede either the mandate of the Due Process Clause or the limits on judicial authority that Clause ensures”].) However, “the United States Supreme Court has not agreed on exactly what more besides foreseeability must be shown.” (*L.W., supra*, 108 Cal.App.5th at p. 112.)

Here, relying on Volkswagen AG’s evidence, Plaintiff argues Volkswagen AG admits it designs and manufactures Volkswagen vehicles and exports them to defendant Volkswagen Group of America, Inc. (“VWGoA”), who is the exclusive importer of Volkswagen vehicles in the United States. Plaintiff also relies on

Volkswagen AG's annual report, which states Volkswagen Group delivered 576,922 vehicles to customers in the U.S. during 2025 and Volkswagen Group Components, operating "under the umbrella of Volkswagen AG," employs approximately 58,000 people involved in developing and manufacturing vehicle components, and manufactures major vehicle systems. Plaintiff also provided evidence that he purchased the subject vehicle from an authorized Volkswagen dealership in Garden Grove, California and subsequently presented it to authorized Volkswagen dealerships in California on repeated occasions for warranty diagnosis and repair.

Plaintiff argues this evidence establishes Volkswagen AG placed the subject vehicle into the U.S. market, which reached a California consumer and was supported through Volkswagen's authorized California dealership network. Plaintiff contends, under these circumstances, Volkswagen AG could reasonably anticipate being haled into a California court in an action arising from alleged defects in that vehicle.

Concerning relatedness, Plaintiff merely recites the complaint's causes of action and points out that it specifically alleges Volkswagen AG manufactured a defective vehicle and components and intentionally concealed the defects from the Plaintiff and California consumers.

The Court finds Plaintiff has established purposeful availment. However, he has not established relatedness. Plaintiff's Song-Beverly Act causes of action relate to alleged failures arising under the warranties accompanying the Subject Vehicle at the time of acquisition (Compl., ¶¶ 21, 31-65.), and functions as a vehicle for contractual damages. (See *Kwan v. Mercedes-Benz of North America, Inc.* (1994) 23 Cal.App.4th 174, 188 [The clear mandate of section 1794...is that compensatory damages recoverable for breach of the Act are those available to a buyer for a seller's breach of a sales contract.].) Volkswagen AG's evidence establishes that it "does not issue or administer warranties to consumers for Volkswagen vehicles sold or leased in the United States." (Piep Decl., ¶ 13.) Nor does VWAG have "authority nor control over VWGoA's decisions regarding administering warranty claims submitted by authorized Volkswagen dealers in the United States." (Id.) Based on this evidence, there is no basis for Volkswagen AG to foresee being haled into California courts for disputes over the handling of a warranty it did not issue, administer, guarantee, or otherwise have any involvement with. Plaintiff's remaining causes of action concern alleged representations made involving the advertisement, sale, or lease of the subject vehicle that Plaintiff alleges to be defective. (See generally, Compl.) Volkswagen AG's evidence establishes that it has no control over what vehicles are sold in California and does not advertise, market, or sell vehicles in California. (Piep Decl., ¶¶ 6, 8-9.)

		The stream of commerce cases Plaintiff relies upon are products liability cases that involve some sort of personal injury. (See <i>World-Wide Volkswagen Corp.</i>, <i>supra</i>, 444 U.S. 286 [car accident resulting in injury]; <i>J. McIntyre Machinery, Ltd.</i>, <i>supra</i>, 564 U.S. 873 [personal injury involving metal shearing machine]; <i>Vons Companies, Inc.</i> <i>supra</i>, 14 Cal.4th 434 [food safety causing E. coli outbreak]; <i>Ford Motor Company v. Montana Eighth Judicial District Court</i> (2021) 592 U.S. 351, [car accident resulting in death]; <i>L.W.</i>, <i>supra</i> 108 Cal.App.5th 95 [personal injury caused by defective vehicle].) That is not the case here. Plaintiff does not allege personal injury caused by the alleged defects in the subject vehicle. Instead, Plaintiff only alleges economic damages. The facts alleged in this action relate to the sale of and warranty for the subject vehicle, which Volkswagen AG does not issue, administer or control. (Piep Decl., ¶ 13.) <u>Fair Play and Substantial Justice</u> Since Plaintiff has failed to meet his burden under the second prong, Volkswagen AG does not need to establish that exercise of jurisdiction would be unreasonable. Accordingly, the Motion to Quash is GRANTED. Plaintiff's complaint is DISMISSED as to Specially Appearing Defendant Volkswagen AG.
14.	U.S. BANK NATIONAL ASSOCIATION VS. HUSSAIN 2025-01522674	MOTION FOR SUMMARY JUDGMENT AND/OR ADJUDICATION The Motion for Summary Judgment/Adjudication by Plaintiff U.S. Bank National Association is GRANTED. Plaintiff moves for summary judgment or adjudication in its favor and against Defendants Khalid Hussain and Soleil Enterprises, Inc. a.k.a. Soleil Enterprises on the Complaint, which alleges breach of a credit card agreement with an outstanding balance of \$45,645.16. <u>Legal Standard:</u> The elements of a claim for breach of contract are “(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff.” (<i>D'Arrigo Bros. of California v. United Farmworkers of America</i> (2014) 224 Cal.App.4th 790, 800.) Code of Civil Procedure section 437c(c) states, “The motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law. In determining if the papers show that there is no triable issue as to any material fact, the court shall consider all of the evidence set forth in the papers, except the evidence to which objections have been made